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WHEN THE WORLD'S richest person says something, everyone listens. So, when Elon Musk said that he had acquired a significant stake—9.2 per cent, to be precise—in Twitter and planned to acquire the microblogging company, everyone took it seriously. While some analysed his actions from the angle of “free speech”, there were many—including a large number of average Indian investors—who looked at it from an investment perspective.

For, they rightly thought that news about the world's richest person buying one of the most influential microblogging platforms will send the company's stock zooming. It did indeed. Shares of US-listed Twitter jumped a little over 28 per cent in a single day on April 4—a day after Musk made his stake public—even as a number of Indian investors placed their bets on Twitter.

Such investors are part of a growing tribe of Indian retail investors who are taking positions on multinational companies—mostly listed on US bourses—either by investing directly via global investing platforms, or through broking firms that have tie-ups with such platforms. Interestingly, some of these platforms saw a five-fold rise in the quantum of Twitter shares traded on April 4. The average transaction value also registered a spike, clearly corroborating the fact that each investor was ready to buy more. Twitter is just one example, though. Shares of companies like Meta (formerly Facebook), Netflix, Tesla, and also some of the meme stocks like Gamestop also saw heightened activity from Indian investors when they were in the news.

In India, some international and home-grown plat-

forms such as Vested Finance, Stockal, Winvesta and IN-Dmoney, among others, offer an international trading facility wherein Indian investors can directly buy shares of companies listed on foreign bourses. Many large broking firms in India have also tied up with these platforms to help their clients buy shares of overseas companies. The trend caught everyone's fancy during the lockdowns when people were locked inside their homes and had the time to explore various investment options as part of their overall diversification strategy.

STRATEGIC DIVERSIFICATION

“Indian retail investors want to diversify their investment options with exposure to some of the world's largest companies,” says Vinay Bharathwaj, Co-founder and Co-CEO of Stockal, which launched cross-border investment services in 2019 and currently has over 300,000 registered users. “They have the advantage, via US stock investment, to invest in emerging themes like the metaverse, crypto assets-linked stocks, AI and space tourism, among others, that are yet to make a mark in India,” he adds.

While initially, a bulk of the action was limited to the stocks of the so-called FAANG—Facebook, Amazon, Apple, Netflix & Google (now Alphabet)—group of companies, recent times have seen Indian investors take exposure in newer sectors like electric vehicles (EV), semiconductors, AI, cryptos and robotics through companies like NVIDIA, Nio, Coinbase Global and AMD, among others.

Swastik Nigam, Founder and CEO of Winvesta, believes that factors like social sentiment create a big impact on short-term investment decisions of Indian investors. “Last year, we saw Indians participate in the meme stock phenomenon, trading stocks like Gamestop and AMC. In 2020 and 2021, EV stocks were popular buys, while this year we are seeing interest in chip-makers and crypto platforms,” says Nigam, while adding that M&A deals are also driving opportunistic trading in India.

A GROWING TRIBE

When Bharathwaj started Stockal in 2019, the monthly average volume on his platform was a mere \$175,000. That shot up to \$22 million in 2020 and thereafter to \$40 million in 2021. In 2022, the monthly average trading volume on Stockal has touched \$45 million with the cumulative worth of transactions processed standing at \$750 million.

According to Viram Shah, Co-founder and CEO of Vested Finance, which has over one million users, and